

Many smart contracts have embedded clauses stipulating how the system can change; for instance, allowed changes could include adjusting parameters, adding new components, or even altering the functionality of existing components. The ability of the system to change is a powerful proposition given the possibility that the contract a user interacts with today could change tomorrow. In some cases, only developer admins, who encode special privileges for themselves, can control changes to the platform.

Any platform with admin-controlled functionality is not truly DeFi because of the admins' centralized control. A contract without the capacity for change is necessarily rigid, however, and has no way to adapt to bugs in the code or changing economic or technical conditions. For this reason, many platforms strive for a decentralized upgrade process, often mediated by a governance token.

The owners of a governance token would have pro rata voting rights for implementing any change allowed by the smart contracts that govern the platform. Voting mechanisms and *decentralized autonomous organizations* (DAOs) are covered in Chapter 5.

A governance token can be implemented in many ways: with a static, an inflationary, or even a deflationary supply. A static supply is straightforward: purchased tokens would correspond directly to a certain percentage control of the vote. The current implementation of the MKR token for MakerDAO has a generally static supply. Chapter 6 delves into MakerDAO and its implementation.